

Aging and People with Disabilities

Number: APD-PT-26-010

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Issue date: 8/6/2026

Subject: Biennial licensure of APD AFH

Transmitting (check the box that best applies)

- ☒ New policy ☐ Policy change ☐ Policy clarification ☐ Executive letter
☐ Administrative Rule ☐ Manual update ☐ Other:

Applies to (check all that apply):

- | | |
|--|--|
| ☐ All ODHS employees | ☐ County DD Program Managers |
| ☒ Aging and People with Disabilities | ☐ Developmental Disabilities Services |
| ☒ Area Agencies on Aging: -- Type B -- | ☐ Self-Sufficiency Programs |
| ☐ Child Welfare Division | ☐ Support Service Brokerage Directors |
| ☐ Children's Intensive In Home Services | ☐ Stabilization and Crisis Unit |
| ☐ Children's Residential Services | ☐ Other (please specify): Enter Text |

Policy/rule title: Biennial licensure of APD AFH

Policy/rule numbers:

Release number:

Effective date:

Expiration date:

References:

Web address:

Discussion/interpretation

Senate Bill 739 (SB739), passed in 2025, grants the allowance for biennial licensure of adult foster homes (AFH) licensed by Aging and People with Disabilities (APD) who are found to be in substantial compliance. SB739 will be established in Oregon Administrative Rule (OAR) July 31, 2026, and these license specifics will be in 411-049-0105(3).

Implementation/transition instructions

Beginning July 31, 2026, APD AFH providers who have been licensed and in substantial compliance with OARs for at least three (3) years may be issued a two-year license. This applies to all adult foster home licenses including commercial, limited, vent and adult foster homes with specific needs contracts (SNC). Substantial compliance is defined as a level of compliance that presents a level of risk to residents no greater than that of negligible harm.

SECTION 11. ORS 443.755 (1)(a) The licensing agency staff shall be permitted access to enter and inspect all licensed adult foster homes. The licensing agency shall visit and inspect every adult foster home to determine whether the home is maintained and operated in accordance with ORS 443.002 and 443.705 to 443.825 and the rules of the licensing agency, and to consult with and advise the provider concerning methods of care, treatment, training, records, housing and equipment. **(b) The licensing agency shall conduct an on-site inspection under this subsection at a minimum: (B) Annually, regardless of whether the duration of the adult foster home's license has been extended to two years under ORS 443.735**

Two-year license inspection process

- The licensing office shall send a renewal application to the licensee or administrator no less than 90-days before the license expiration date.
- The licensee or administrator must submit a completed renewal application and the bed fee as required according to rule (\$20-\$100) before the license expiration date to keep the license effective. All other renewal materials must also be submitted before a license can be renewed.
 - **Note:** once both the application and bed fee have been received update the license record in the Corrective Action Licensing Management Survey System (CALMS) to “license maintains” status.
- As available, the licensor will review the Licensee's renewal materials offsite and prior to the renewal inspection. NOTE: resident and facility records are to be reviewed onsite as part of the renewal inspection process.
- The licensor will conduct an in-person renewal visit before the license expiration to assess compliance with the APD AFH OARs. The renewal visit may be scheduled and held at a mutually agreed upon time as stated in OAR 411-049-0135(3).

- **Note:** consult with your manager if unable to conduct the inspection before the license expiration date and ensure both the application and bed fee have been received and the license record in CALMS is in “**license maintains**” status.
- As stated in the collective bargaining agreement the licensor shall inspect private living quarters only to inspect items specific to OAR compliance and with the provider or another caregiver present.
- The renewal visit requires an audit of all resident records including but not limited to the following:
 - Admission or readmission screenings, as well as:
 - Residency agreement
 - HCBS rights, AFH Resident Bill of Rights, Protections and Freedoms (APD 0305A)
 - Non-discrimination policy
 - Right to receive a long-term care assessment (APD 0913)
 - Resident orientation to emergency procedures (APD 0342A)
 - Notification of the right to form an advanced directive has been documented
 - Documentation that the resident was notified of Long-term Care Ombudsman services available
- Medication administration records (MAR)
- Medication orders, parameters and delegations, as applicable
- Care plan and timeliness of care plan updates
- Medication stock and supplies
- Resident activities
- Significant Events and Incident Report(s), as applicable

- Resident narratives
- Individually based limitations, as applicable
- Staff records including:
 - Training requirements
 - Ensuring Quality Care Transcripts, as applicable
 - Dementia training
 - HCBS training
 - Six Rights, as applicable
 - Providing Inclusive Care training
 - Fire and Life Safety, as applicable
 - AFH Caregiver Orientation (APD 0349)
 - Completion of caregiver workbook, as applicable
 - CPR and First Aid
 - OIG and SAM verification
 - Background check verification
 - Employment application that includes the required abuse question
- Facility standards including:
 - Egress and pathways are clear
 - There are no offensive odors and no accumulation of garbage and debris
 - Locations and functionality of smoke alarms, carbon monoxide, and fire extinguishers
 - Emergency phone numbers are posted
 - Emergency grab bars, bedroom door locks and keys are being utilized

- First aid manual and supplies are current and available
- Sharps are being disposed of properly, as applicable
- Appropriate safety barriers are in place as per 411-050-0720 Safety (17)
- Verification of annual well water testing, if applicable
- Emergency preparedness plan and sufficient evacuation supplies are on hand
- Sprinkler maintenance, if applicable

Determining Length of Licensure

- After the licensor has conducted an in-person renewal visit and all deficiencies have been corrected, the license may be renewed for either one (1) or two (2) years, depending on the licensee's compliance status and their number of years licensed.
- If the licensee is approved for two (2) years, the additional bed fee for the second year of licensure must be paid before the two-year license can be issued. This fee may be paid by cash (in some offices), check, money order, or on the APD payment website.
- To receive a two-year license, the licensee must meet the following metrics for their three-year look back period:
 - There are no Level 3 or 4 substantiated findings of abuse for the licensee or the co-licensee, as applicable. A Level 3 or 4 finding indicates there was a risk for serious harm, or a serious negative outcome, to resident health and safety, thus the licensee has not met the metric for the risk of only negligible harm.
 - **Note:** if a staff member is substantiated and the licensee is not substantiated in the same report, the licensee may be issued a two-year license. Licensees who are licensed under a limited liability corporation, s-corp., or other business entities are also subject to these parameters. If the business entity licensee, as alleged perpetrator 1 (AP1) has a Level 3 or 4 substantiated abuse finding in the three-year review period, a one-year license shall be issued.
 - The licensee or administrator must not have had a license condition in place for a pattern of licensing deficiencies as determined and agreed upon by the local

licensing authority (LLA) and corrective action staff. If the licensor requests a condition and the Corrective Action Coordinator (CAC) determines there is not enough history to support the request and issue a condition, a two-year license shall be issued. Letters of Agreement (LOA) are not a factor in determining substantial compliance.

- If a license condition is in place for a pending abuse investigation, the license shall be placed in pending status while the condition is in place and then renewed as per policy once the condition is withdrawn. If the abuse allegation that prompted the placement of the condition is not at final order status, it may not be used in determining two-year approval status.

Provider History Report - CALMS

- To run the provider history, refer to the Quick Reference Guide (QRG) sent with report instructions for the Corrective Action and Licensing Management Survey System (CALMS).
- This report is to be run prior to the renewal visit which will give the licensor information about the anticipated license renewal period before visiting the AFH.
- Though a two-year license may be an option per the report, renewing a license also requires the licensee to have remedied any open licensing deficiencies before a new license can be issued. If the licensee refuses to correct deficiencies within the required timeframe, they shall be cited for failure to correct, and the license shall not be renewed until all deficiencies are corrected.
 - If the failure to correct persists, a request to the assigned CAC because a regulatory sanction may be appropriate. OAR requires a licensee to remedy all deficiencies, even if they are requesting an additional meeting with the local office.
 - **Note:** this may not include deficiencies in which the licensee has been given an approved extended timeframe for correction such as fence or window repairs that require an improvement in weather conditions or scheduling that is beyond the control of the licensee. If the licensee has been given an extended approval timeline for correction of deficiencies, consult with the licensing manager to discuss the license renewal process.

Other Operational Considerations and Processes

- No licensee who has been licensed for a period of less than three (3) years may receive a two-year license. If an established licensee opens and operates other adult foster homes, each license is subject to the three-year period required before a two-year license may be issued.
- If a licensee moves their AFH from one address to another, they retain their eligibility for a two-year license.
- If there are co-licensees and one (1) of them removes themselves from the license, the licensee that remains is still eligible for the two-year license if they meet the requirements. If the licensee that was on the license removed themselves from the license to open a new AFH at a different location, they must wait three (3) years before being eligible for a two-year license since it is a new AFH license.
- If a co-licensee is added during the licensing term the license will remain eligible for a two-year renewal however, if one licensee is added and the original licensee drops off before three-years has passed, the eligibility period starts over. The three years must begin again since this was a tool for changing AFH ownership and in this instance the licensee with longevity has not remained on the license.
- If eligible for a two-year license, the licensor will send the licensee an email using the template provided to let the licensee know of their two-year approval and request the second payment be made for the additional year of licensure.
- If approved for a one-year license, or the licensor determines the licensee does not qualify for a two-year approval based on their licensing history or licensing timeframe, the licensor will issue the license for a one-year period.
- If the licensee requests to remain on a one-year licensing cycle, the licensee's request for a one-year license shall be saved under the license record in CALMS.
- If the licensee asks why a two-year license was not issued, the exported report from the provider history in CALMS shall be made available to them. This report shall be saved in the license record in CALMS to preserve the licensing history that was reviewed at that time of renewal.

- The provider enrollment agreement (PEA) will match the license cycle and should be submitted as such. The licensee is responsible for submitting changes to their PEA between license renewal dates. Failure to do so may result in overpayments and potential Medicaid fraud.
- If a licensee has a two-year license, an in-person, inspection visit is still required at least annually. This visit is considered the mid-cycle inspection and will be conducted according to policy to ensure equitable and thorough review of adult foster homes.
- All documentation is to be saved in CALMS according to licensure training and provided guidelines.

Local/branch action required

Implementation of this policy as written.

Central office action required

Training on this new requirement during monthly check-ins and as needed.

Reviewed by impacted parties? ☒ Yes ☐ No

If yes, reviewed by: APD Policy, APD AFH Licensors, APD AFH Licensees

Filing instructions: as per APD policy

If you have any questions, please contact:

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